

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 792

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3622K, IDAHO CODE, TO REVISE A PROVISION REGARDING OCCASIONAL SALES AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 63-3622XX, IDAHO CODE, AS ENACTED BY SECTION 1, CHAPTER 86, LAWS OF 2025, TO REVISE PROVISIONS REGARDING SMALL SELLER SALES TAX PROVISIONS AND TO REDESIGNATE THE SECTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3622K, Idaho Code, be, and the same is hereby amended to read as follows:

63-3622K. OCCASIONAL SALES. (a) There are exempted from the taxes imposed by this chapter occasional sales of tangible personal property.

(b) As used in this section, the term "occasional sales" means:

(1) A sale of property not held or used by a person in the course of an activity for which he is required to hold a seller's permit, provided such sale is not one ~~(1)~~ of a series of sales sufficient in number or of such a nature as to constitute the seller a "retailer" under section 63-3610(c), Idaho Code. The definition of "occasional sales" provided in this subsection does not apply to use tax in regard to tangible personal property used to improve real property when such property is obtained, directly or indirectly, from a person in the business of making like or similar improvements to real property.

(2) Any transfer of all or substantially all of the property held or used by a person in a business requiring a seller's permit when, after such transfer, the real or ultimate ownership of such property is substantially similar to that which existed before such transfer. For the purpose of this section, stockholders, bondholders, partners, or other persons holding an interest in a corporation or other entity are regarded as having a "real or ultimate ownership" of the property of such corporation or other entity.

(3) A transfer of capital assets to or by a business when the transfer is accomplished through an adjustment of the beneficial interest of the business and the transferor has paid sales or use taxes pursuant to section 63-3619 or 63-3621, Idaho Code, on the capital assets, incidental to:

(i) A division of joint venture, partnership, or limited liability company assets among the members or partners in exchange for a proportional reduction of the transferee's interest in the joint venture, partnership, or limited liability company. For the purposes of this section, the term "limited liability company" means a business organization as defined in chapter 6, title 53, Idaho

Code, or as defined in section 30-6-102, Idaho Code, as appropriate pursuant to section 30-6-1104, Idaho Code;

(ii) The formation of a partnership, joint venture, or limited liability company by the transfer of assets to the partnership, joint venture, or limited liability company or transfers to a partnership, joint venture, or limited liability company in exchange for proportionate interests in the partnership, joint venture, or limited liability company;

(iii) The formation of a corporation by the owners of a business and the transfer of their business assets to the corporation in exchange for stock in proportion to assets contributed;

(iv) The transfer of assets of shareholders in the formation or dissolution of a corporation;

(v) The transfer of capital assets by a corporation to its stockholders in exchange for surrender of capital stock;

(vi) The transfer of assets from a parent corporation to a subsidiary corporation which is owned at least eighty percent (80%) by the parent corporation, which transfer is solely in exchange for stock or securities of the subsidiary corporation;

(vii) The transfer of assets from a subsidiary corporation which is owned at least eighty percent (80%) by the parent corporation to a parent corporation or another subsidiary which is owned at least eighty percent (80%) by the parent corporation, which transfer is solely in exchange for stock or securities of the parent corporation or the subsidiary which received the assets.

(4) The sale, lease or rental of a capital asset in substantially the same form as acquired by the transferor and on which the initial transferor has paid sales or use taxes pursuant to section 63-3619 or 63-3621, Idaho Code, when the owners of all of the outstanding stock, equity or interest of the transferor are the same as the transferee or are members of the same family within the second degree of consanguinity or affinity.

(5) The sale of substantially all of the operating assets of a business or of a separate division, branch, or identifiable segment to a buyer who continues operation of the business. For the purpose of this subsection, a "separate division, branch, or identifiable segment" shall be deemed to exist if, prior to its sale, the income and expense attributable to such "separate division, branch, or identifiable segment" could be separately ascertained from the books of accounts and records.

(6) Sales by persons who are not defined as "retailers" in section 63-3610, Idaho Code.

(7) Sales of animals by any 4-H club or FFA club held in conjunction with a fair or the western Idaho spring lamb sale.

(8) The sale or purchase of tangible personal property at home yard sales; provided however, that no more than two (2) such home yard sales per individual calendar year shall be exempt. If a homeowner has more than two (2) home yard sales and the total sales are less than five thousand dollars (\$5,000) in a calendar year, such homeowner may qualify as a small seller as defined in section 63-3622YY, Idaho Code.

(c) As used in this section, the term "occasional sales," when applied to the sale of a motor vehicle, means only:

(1) Sales of motor vehicles between members of a family related within the second degree of consanguinity, unless a sales or use tax was not imposed on the sale of that motor vehicle at the time of purchase, in which situation the sale is taxable.

(2) Sales of motor vehicles that fall within the scope of the transactions detailed in subsection (b) (2) through ~~(b)~~ (5) of this section.

(d) The exemption provided by subsection (b) (1), ~~(b)~~ (4), ~~(b)~~ (6), or ~~(b)~~ (8) of this section shall not apply to the sale, purchase or use of aircraft, as defined in section 21-201, Idaho Code, nor shall it apply to the sale, purchase or use of boats or vessels, as defined in section 67-7003, Idaho Code, nor shall it apply to the sale, purchase or use of snowmobiles, recreational vehicles or off-highway motorbikes, as defined in section 63-3622HH, Idaho Code.

SECTION 2. That Section 63-3622XX, Idaho Code, as enacted by Section 1, Chapter 86, Laws of 2025, be, and the same is hereby amended to read as follows:

~~63-3622XX~~ 63-3622YY. SMALL SELLER. (1) There is hereby exempted from the taxes imposed by this chapter sales of tangible personal property made by an individual making small sales. A small seller shall not collect or remit any state sales or use tax imposed by this chapter.

(2) For purposes of this section, "small seller" means an Idaho resident making sales that do not exceed five thousand dollars (\$5,000) in cumulative gross receipts in the current ~~or previous~~ calendar year. It shall not include partnerships, corporations, or limited liability corporations.

(3) The exemption provided in this section shall not apply to:

(a) Sales of motor vehicles, trailers, all-terrain vehicles, utility type vehicles, specialty off-highway vehicles, motorcycles intended for off-road use, snowmobiles, aircraft, vessels as defined in section 67-7003, Idaho Code, alcohol, or tobacco; or

(b) Items purchased to be sold or incorporated into items to be sold.

(4) A small seller with gross receipts exceeding five thousand dollars (\$5,000) in a calendar year shall within thirty (30) days file with the state tax commission an application for a temporary seller's permit and begin collecting and remitting sales and use tax on all sales exceeding five thousand dollars (\$5,000) in such calendar year. No temporary seller's permit shall be issued for a period of time greater than the remaining calendar year in which sales exceeded five thousand dollars (\$5,000) for a small seller. The following year, If such seller reasonably anticipates to exceed five thousand dollars (\$5,000) in sales for the next calendar year, such seller shall apply for a seller's permit under the provisions of section 63-3620(a), Idaho Code. A small seller with gross receipts exceeding seven thousand five hundred dollars (\$7,500) in a calendar year shall collect and remit sales and use tax on all sales made during such calendar year.

(5) A small seller shall indicate on such seller's invoice, if requested by the purchaser, that the sale was exempt from sales and use tax pursuant to the provisions of this section.

1 (6) A small seller shall not permanently maintain, occupy, or use an
2 office, place of distribution, sales or sample room or place, warehouse or
3 storage place, or other place of business or maintain a stock of goods with
4 anticipation of exceeding gross receipts of five thousand dollars (\$5,000).

5 (7) A small seller may file an application with the state tax commission
6 for a seller's permit pursuant to section 63-3620, Idaho Code, before such
7 seller reaches the five thousand dollar (\$5,000) threshold provided in sub-
8 section (2) of this section.

9 (8) Nothing in this section relieves a small seller from filing indi-
10 vidual income tax returns for persons who meet the filing requirements under
11 section 63-3030, Idaho Code.

12 (9) A small seller with sales exceeding three thousand dollars (\$3,000)
13 annually shall keep such records for not less than four (4) years pursuant to
14 section 63-3624, Idaho Code.

15 SECTION 3. An emergency existing therefor, which emergency is hereby
16 declared to exist, this act shall be in full force and effect on and after
17 July 1, 2026.